

THE BUZZ

ECONOMY

GUARDED OPTIMISM

The *BT-C Fore Business Confidence Index* is at a five-quarter high. The economy may do better than expected in FY24, but muted global growth is a concern

BY SURABHI

18 | ► **INDIA REPORTED** higher-than-expected GDP growth of 7.2 per cent in FY23. The International Monetary Fund too has upgraded India's GDP growth forecast for FY24 to 6.1 per cent from 5.9 per cent earlier. But if you thought that the economy could look forward to sunny weather, curb your enthusiasm. Economic growth may remain subdued this fiscal thanks to global storm clouds. The domes-

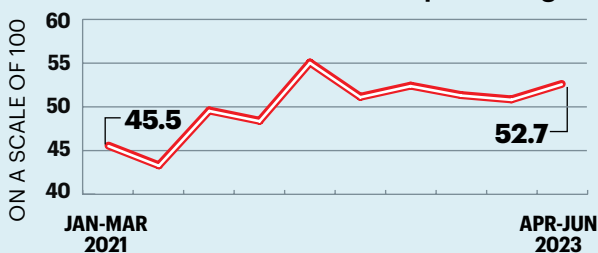
tic economy, however, may still do better than anticipated if the capital expenditure of the centre and states remain on track and inflationary pressures ease to allow domestic demand to stay robust.

Easing retail inflation—despite the recent spurt in vegetable prices—at 4.81 per cent in June, has raised expectations of improved consumption demand as real wages rise. Besides, the Reserve Bank of India (RBI), too, may opt for a prolonged pause on rate hikes. Additionally, GST collections remained robust at over ₹1.65 lakh crore in July, while industrial output as measured by the index of industrial production was at a three-month high of 5.2 per cent in May.

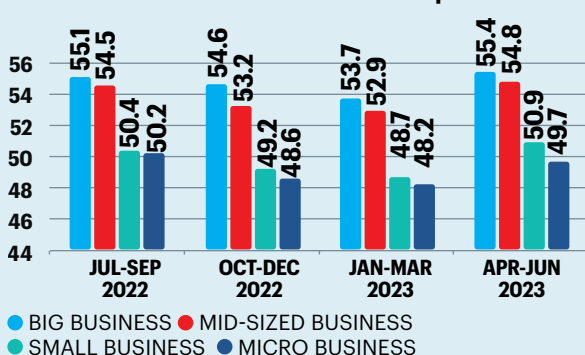
Businesses are turning a tad more optimistic because of this sustained momentum in economic activity, as reflected in the *BT-C Fore Business Confidence Survey* (of 500 CEOs and CFOs) for the April-June period. The Business Confidence Index (BCI) touched a five-quarter high of 52.7 in the June quarter. Though this was a mar-

MOOD IMPROVES, BUT JUST A NOTCH

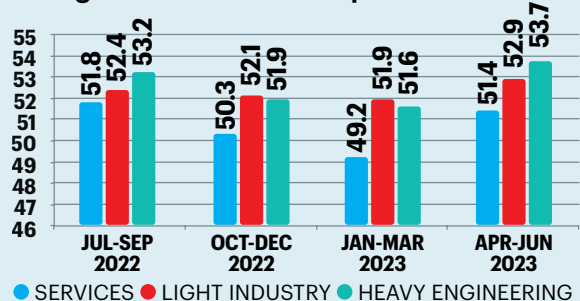
Business confidence is at a five-quarter high...



...but micro industries remain in pain



BCI improves across industry types after falling for two successive quarters



Businesses are confident about Q2FY24, anticipating stronger results compared to Q1FY24

